knocking out a big chunk of the purchase price. You will have less liquid cash left over if you go with this option, but whether or not you want to go this route is a calculation you'll need to make on your own.

If you don't have the full 20 percent, you're in the same boat as many first-time home buyers. Looking back to our previous discussion of mortgage types, you'll remember that the down payment on a conventional loan can be as low as 3 percent for a first-time home buyer with a good credit score, 3.5 percent on an FHA loan, and a beautiful zero percent if you can qualify for a VA or USDA loan.

Those last two don't require a monthly PMI payment, but a low-money-down FHA loan or low-money-down conventional loan most definitely will. With a lower down payment, your lender considers your purchase higher risk, and PMI will protect them in the event that you default on your mortgage.

PMI typically costs between .5 and 1 percent of the entire loan amount on an annual basis. If you're paying PMI on a $300,000 house, that might come to $3,000 per year, or about $250 per month. This chunk of change goes straight to your lender, so it doesn't help at all in paying down your mortgage.

Fortunately, PMI can be removed from your monthly payment once you meet certain conditions. With a conventional loan, the PMI can be removed upon request when you've reached 20 percent equity in the property. If you don't request this from your lender, they must remove it on their own once you reach 22 percent equity.

The timing of this PMI removal checkpoint varies depending on your loan amount, your interest rate, and whether or not you pay extra on top of your typical monthly payment. On a $300,000 loan, for example, you would need to pay down the loan balance to $240,000—which could take ten years or so.

An FHA loan is a different story, however. The monthly PMI-equivalent payments (called the mortgage insurance premium, or MIP) can't be removed at any time during the life of the loan. Unless you pay off the entire mortgage or refinance the loan, you're stuck with that MIP.

Speaking of refinancing, though, this is a great option for those renovating their homes to force appreciation. If your home has greatly increased in value, you might have enough equity in the home to refinance